

bit worse, then there is a risk that you missed something in your modelling of the strategy and you may find that the negative bias will continue over time. I advise that you err on the side of caution and make sure from the start that the assumptions in your simulations are conservative. Add higher slippage and commissions than you believe you will see in reality.

Set up a spreadsheet where you do daily calculations of your trading result, net of all fees, including accrual management and performance fees as well as all other external costs, and compare this each day with the predicted simulation results. Track closely any trend in the divergence and attempt to locate where it comes from. If you realise that there is a systematic difference between your results and the simulations, you have a real problem and you had better figure out where it comes from before things get worse.

It helps getting to the details if you calculate daily profits and losses per instrument, both for your actual trading and for your simulations. Most simulation software does not have such an option built in, but if you get one that has an open enough architecture, you can just add this yourself. It is not too difficult and you don't need to be a master programmer to build a plugin to your analytical software and augment the functionality a little.

Having the best simulated results possible is a poor comfort if you find your real trading failing to replicate it.